



## Endowment Effect

What would you do in the following situations?

You have been gifted a souvenir jug worth Rs. 100 (in the marketplace). Someone offers to buy it from you. What is the very least you would expect to be paid for the jug?

- A. Rs. 100      B. Rs. 80      C. Rs. 70      D. Rs. 50

Your neighbour has received a souvenir jug worth Rs. 100 (in the marketplace) as a gift. He offers you the jug for sale. What is the most you are willing to pay for the jug?

- A. Rs. 100      B. Rs. 80      C. Rs. 70      D. Rs. 50

It is obvious. When someone offers to buy the jug from you, you would like to be paid Rs. 100. But when the same jug is offered to you, you would like to pay only Rs. 50. Why is there such a big difference in the price offered and the price tendered when the person is the same and the jug is the same? Because we perceive that whatever belongs to us is more valuable than what belongs to others. When something comes into our possession its value increases. In a way this explains why people prefer the status quo to change. By foregoing change in favour of the familiar they express happiness with the current situation. True, a decision to do or not to do something could be influenced by a host of other factors such as doubt, fear or confusion. Nonetheless, keeping things as they are is a vote of confidence for the current circumstances, irrespective of whether they are good or bad. A preference for holding on to what you have is a lot stronger than most people think.

Because people place an inordinately high value on what they have, a decision to change becomes difficult. Of course people do manage to overcome this tendency, for if they didn't they would not sell their homes or trade their used cars or divorce their spouses. But to the extent that the endowment effect makes it difficult to properly value what is and isn't yours, you may fail to pursue options that are in your best interest. In fact the endowment effect is just another manifestation of loss aversion: people place